

ECONOMICS PAPER 1

(Mock Test 37)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Josie is considering renting an industrial building unit to set up a studio for producing short films for her personal social media channel. Otherwise, she will make short films at home. Which of the following will lower Josie's cost of renting an industrial building unit to make short films?
 - (1) The landlord lowers the rent of the unit.
 - (2) The tenant next to the unit often makes noise, which affects the quality of Josie's short films.
 - (3) Due to a lack of soundproofing equipment, Josie is often disturbed by noise when making short films at home.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2. Which of the following statements about Hong Kong International Airport are positive statements?
 - (1) The passenger volume of Hong Kong International Airport increased by 52.8% in the first half of 2024 compared with the same period the year before.
 - (2) Hong Kong International Airport should further expand to cope with higher passenger demand in the future.
 - (3) Hong Kong International Airport was voted 'Asia's Leading Airport 2023' in the 30th World Travel Awards.
 - (4) Hong Kong International Airport is more beautiful than Narita International Airport in Japan.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

3. On 4 August 2024, the Leisure and Cultural Services Department (LCSD) held 'Sport For All Day 2024', on which most leisure facilities under LCSD, including public swimming pools, badminton courts and basketball courts were opened for free use. The sessions for free use of facilities were allocated by drawing lots. The above case is related to the _____ question(s) in economics.
 - A. 'what to produce'
 - B. 'for whom to produce'
 - C. 'how to produce' and 'for whom to produce'
 - D. 'what to produce' and 'for whom to produce'

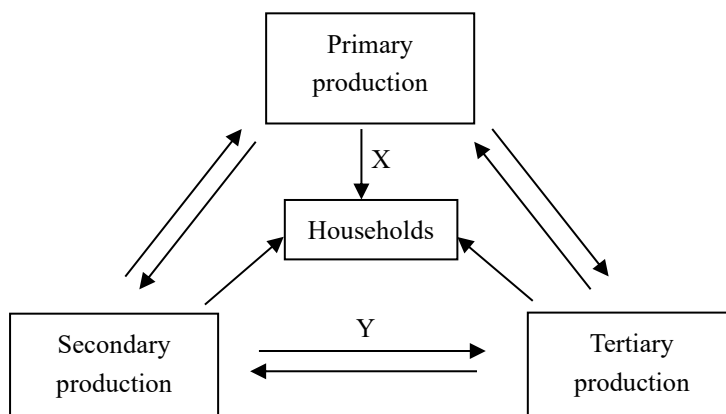
4. Miss Chan is a small investor. Which of the following is a possible reason for her deciding to purchase shares instead of bonds of a listed company?
 - A. If the company winds up, she can get repayment prior to bondholders.
 - B. If the company suffers a loss, she can still receive dividends.
 - C. The market price of shares may increase while that of bonds is fixed.
 - D. She may get higher returns compared to holding bonds if the company makes great profits.

5. Mr. Li runs a restaurant and provides free soft drinks to customers during lunchtime.

These soft drinks provided for free are _____ because they _____.

- A. consumer goods ... are goods used for final consumption
- B. economic goods ... bring customers satisfaction
- C. free goods ... are free for all customers
- D. private goods ... are non-rival in consumption

6. Refer to the following diagram.



X and Y stand for _____ and _____ respectively.

- A. consumer goods ... producer goods
- B. consumer goods ... services
- C. raw materials ... producer goods
- D. raw materials ... services

7. Refer to the following table.

	Firm A	Firm B
Number of workers	50	60
Number of working hours per worker per day	10	8
Total output (units)	4,000	4,800
Percentage of output with quality up to standard	98%	88%

Based on the above information, which of the following are possible reasons for the difference in average labour productivity between firm A and firm B?

- (1) Firm A uses more machines in the production process.
 - (2) Firm A's workers receive less training than firm B's workers.
 - (3) Firm A pays its workers hourly wages while firm B pays by piece rate.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

8. The table below shows the production plan of a firm. The only two inputs required for production are labour and machines.

Labour (units)	Machines (units)	Average product (units)
5	3	2
5	4	4
5	5	7
5	6	X

If the above data illustrates the law of diminishing marginal returns, the value of X _____.

- A. must be smaller than 9
 - B. must be larger than 9
 - C. can be 9
 - D. can be 19
9. Matsuya (松屋), a Japanese beef rice restaurant chain, opened its first branch in Hong Kong in August 2024. Which of the following is the **LEAST** likely advantage of the above expansion?
- A. using resources more efficiently
 - B. ensuring a market outlet for its products
 - C. increasing the market share
 - D. enjoying economies of scale

10. The table below shows the cost-output relationship of a competitive firm.

Output (units)	1	2	3	4
Average variable cost (\$)	3	4	5	6

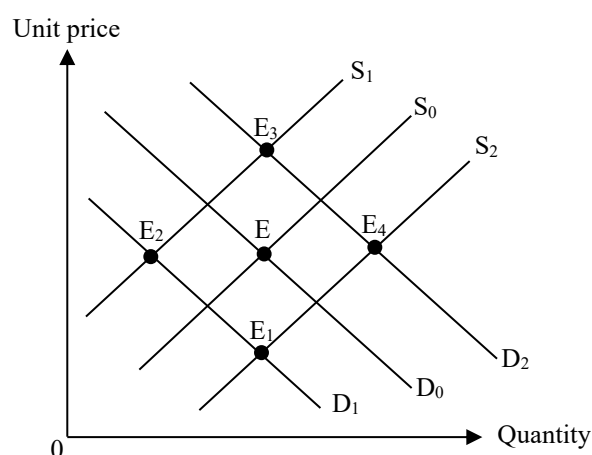
Suppose the profit-maximising output level is 3 units and the fixed cost at 3 units is \$3. The producer surplus of the firm is _____ while the profit is _____.

- A. \$3 ... \$3
 - B. \$3 ... \$6
 - C. \$6 ... \$3
 - D. \$6 ... \$6
11. The Hong Kong Housing Authority sells newly constructed flats under the Home Ownership Scheme (HOS). Although some citizens meet the eligibility criteria and are willing to pay the selling price, they are unable to purchase a flat due to being unsuccessful in the lottery.

From the information above, we can infer that the quantity supplied of the newly constructed HOS flats is _____, while their selling price is _____.

- A. smaller than the quantity demanded ... lower than the equilibrium price
- B. smaller than the quantity demanded ... higher than the equilibrium price
- C. larger than the quantity demanded ... lower than the equilibrium price
- D. larger than the quantity demanded ... higher than the equilibrium price

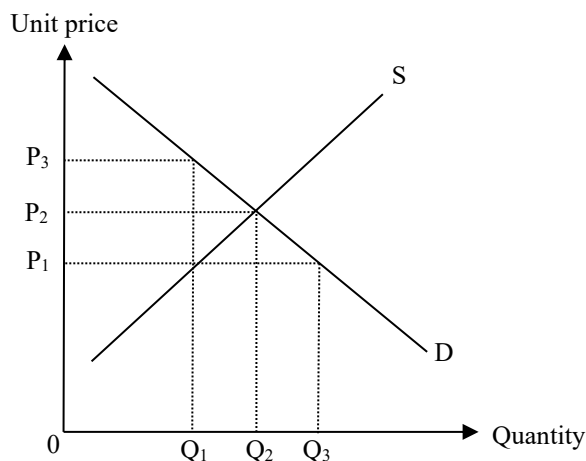
12. The following is the demand-supply diagram of Country A's catering service market. E is the original equilibrium point.



Suppose the government of Country A increases the quota for imported foreign workers in the catering industry. At the same time, a newly completed theme park in Country A attracts many tourists to visit Country A. The new equilibrium point will be at _____.

- A. E_1
 B. E_2
 C. E_3
 D. E_4
13. The demand for _____ can be regarded as a derived demand for _____.
- A. medical services ... doctors
 B. crocodile meat ... crocodile skin
 C. tablets ... network services
 D. physical therapists (物理治療師) ... physical therapy services (物理治療服務)
14. Suppose the government of Country A sets an effective price floor on instant noodles and instant noodles are inferior goods to its citizens. If the income of Country A's citizens in general increases, which of the following statements is/are **CORRECT**?
- (1) The marginal benefit of Country A's citizens from consuming the last unit of instant noodles will remain unchanged.
 (2) The excess supply of instant noodles will increase.
 (3) The total expenditure of Country A's citizens on instant noodles will increase.
- A. (1) only
 B. (1) and (2) only
 C. (2) and (3) only
 D. (1), (2) and (3)
15. When the per-unit subsidy granted to the producers of good X is halved, the total subsidy granted by the government is also halved. Which of the following is a possible explanation?
- A. The elasticity of demand for good X is equal to 0.
 B. The elasticity of demand for good X is equal to 1.
 C. The elasticity of supply of good X is equal to 1.
 D. The elasticity of supply of good X is equal to infinity.

16. Refer to the following supply-demand diagram for good X.



If the government lowers the quota limit from Q_3 to Q_1 ,

- (1) there will be an excess supply of good X and the amount is $(Q_3 - Q_1)$.
 - (2) the market price of good X will increase from P_2 to P_3 .
 - (3) consumers' total expenditure on good X will decrease.
- A. (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

17. Refer to the following market demand schedule of good X. The equilibrium price is \$20.

Unit price (\$)	Quantity demanded (units)
16	50
18	45
20	40
22	35
24	30
26	25

Suppose the government imposes a per-unit sales tax of \$4 on good X. At the same time, the price of a substitute for good X decreases. As a result, the price of good X remains unchanged. Which of the following statements is/are **CORRECT**?

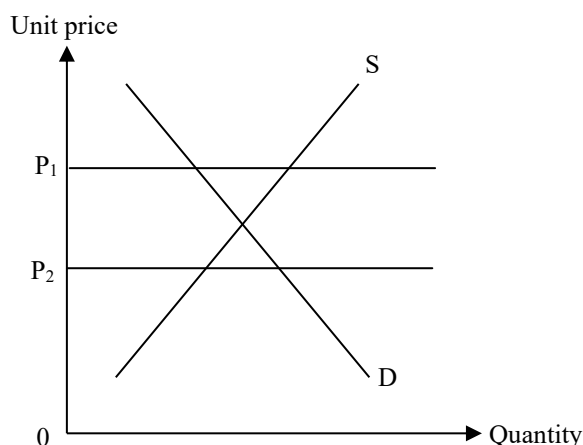
- (1) The government's tax revenue from good X will be \$160.
 - (2) The quantity transacted of good X will decrease.
 - (3) Imposing the per-unit sales tax will not cause any deadweight loss.
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (2) and (3) only

18. The market of air transport in Hong Kong can be classified as an oligopoly. Which of the following statements about the market of air transport in Hong Kong are **CORRECT**?

- (1) The airlines engage in non-price competition.
- (2) Different airlines provide homogeneous services.
- (3) A few airlines have significantly larger market shares than the others.
- (4) The airlines are interdependent in their pricing strategies.

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (3) and (4) only
- D. (2), (3) and (4) only

19. Refer to the following supply-demand diagram for good X.

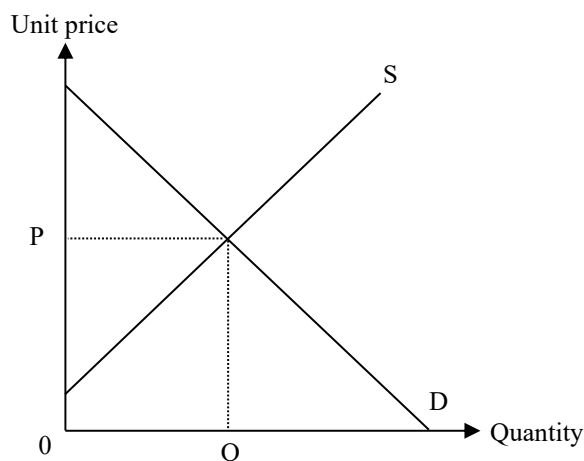


If the government lowers the price ceiling from P_1 to P_2 , the _____ will decrease.

- (1) producer surplus
- (2) total social surplus
- (3) deadweight loss
- (4) total sales revenue

- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (2) and (4) only
- D. (1), (3) and (4) only

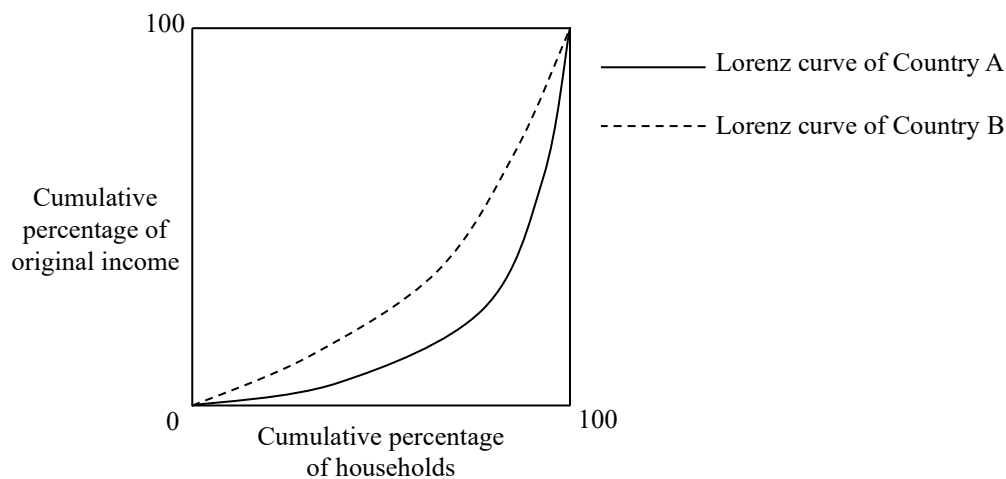
20. Refer to the following supply-demand diagram for good X. Initially, the market for good X is at equilibrium.



Which of the following situations will reduce producer surplus and create a deadweight loss in the market of good X at the same time?

- (1) the imposition of a per-unit sales tax on good X
 - (2) the imposition of an effective quota on good X
 - (3) the imposition of an effective price ceiling on good X
 - (4) a decrease in the demand for good X
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (2) and (3) only
 - D. (2), (3) and (4) only
21. A shopping mall plans to hold outdoor concerts on its rooftop on weekend nights. However, nearby residents oppose the plan, believing that the concerts would cause noise pollution. Which of the following statements is **CORRECT**?
- A. The noise problem can be eliminated if the shopping mall gives compensation to the affected residents.
 - B. The divergence between private and social costs can be narrowed if the shopping mall gives compensation to the affected residents.
 - C. There will be no divergence between private and social costs if the shopping mall has the right to hold outdoor concerts on its rooftop.
 - D. If the government imposes a fine on the shopping mall for excessive music noise, this will help reduce the problem of under-production of music.
22. Which of the following will raise the Gini coefficient based on post-tax post-social transfer monthly household income in Hong Kong?
- (1) cancelling the rates concession
 - (2) increasing the rent for public rental housing units
 - (3) decreasing the marginal tax rates for the salaries tax
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

23. The following diagram shows the Lorenz curves of Country A and Country B.



Based on the above information, which of the following statements about the two countries is **CORRECT**?

- A. The tax system of Country A is likely to be regressive while that of Country B is likely to be progressive.
- B. The gross domestic product of Country A is lower than that of Country B.
- C. Compared to Country B, the living standard of low-income households in Country A is lower.
- D. The Gini coefficient of Country A is higher than that of Country B.

24. Consider the following gross domestic product (GDP) data for Country A.

Components	\$ million
Private consumption expenditure	500
Government consumption expenditure	500
Net domestic fixed capital formation	220
Changes in inventories	-10
Total exports	280
Imports of goods	100
Imports of services	60
Indirect taxes	X
Direct taxes	30
Subsidies	50
Depreciation	80

If Country A's GDP at factor cost is \$1,400 million, the value of X is _____.

- A. 30
- B. 40
- C. 60
- D. 80

25. The following table shows some data for an economy in a certain year.

	Year 1	Year 2
Change in the price level	2%	-3%
Change in population size	0%	3%
Change in nominal GDP	1%	1%

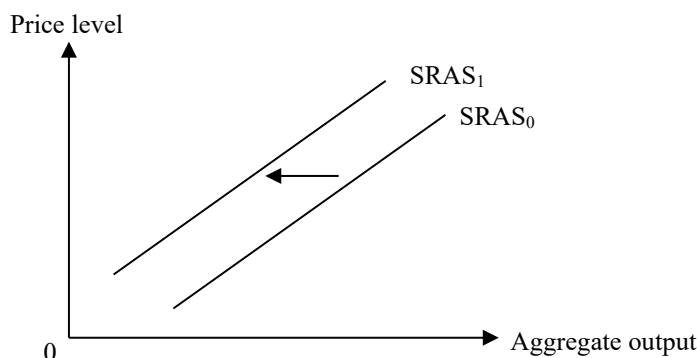
Which of the following statements about the economy is **CORRECT**?

- A. Real GDP decreased in year 1 and increased in year 2.
- B. Per capita nominal GDP decreased in year 1 and increased in year 2.
- C. Per capita real GDP decreased in year 2.
- D. The inflation rate increased in year 1 and decreased in year 2.

26. Which of the following should be deducted from the gross domestic product of Hong Kong to calculate the gross national income of Hong Kong?

- A. the salary earned by a professor from Australia who was invited to work as a consultant at a university in Hong Kong for three months
- B. the fee paid by a Japanese fencing club to a Hong Kong fencing team for an exhibition match in Japan
- C. the dividend paid by a listed company in the United States to a Hong Kong resident
- D. the fee paid by a Korean student to take a psychology course offered by a college in Hong Kong

27.



Which of the following is a possible reason for the above movement of the short run aggregate supply curve?

- A. The government abolishes tax incentives for firms.
- B. Firms expect the general price level to increase.
- C. People's desire to save increases.
- D. The price of raw materials decreases sharply.

28. Since 1 July 2008, the Hong Kong government has lowered the hotel accommodation tax rate from 3% to 0%. Effective from 1 January 2025, the government will re-impose the hotel accommodation tax at a rate of 3%.

Which of the following statements about the measure is **CORRECT**?

- A. The above hotel accommodation tax is a direct tax.
- B. The measure will lead to a fiscal surplus.
- C. The measure is in line with the equality principle of taxation put forth by Adam Smith.
- D. The measure will lead to a decrease in Hong Kong's aggregate demand.

29. An economy initially has an inflationary (output) gap. Which of the following would widen the inflationary (output) gap?
- The central bank prints more money.
 - The government raises the business registration fee.
 - The transport cost of raw materials increases.
 - A major trading partner of the economy experiences an economic recession.
30. Compared to salt, 9999 gold is a better form of money, because 9999 gold is more _____.
- divisible
 - scarce
 - durable
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
31. Which of the following transactions will lead to an increase in Hong Kong's money supply M2?
- Miss Li withdraws HK\$10,000 from her time deposit account in a licensed bank and holds it in cash.
 - Miss Wong deposits HK\$500,000 in cash into a time deposit account in a restricted licence bank.
 - Mr. Cheung transfers HK\$10,000 from his savings account in a licensed bank to his current account in the same bank.
 - Mr. Chan withdraws HK\$10,000 from a time deposit account in a restricted licence bank and uses the amount to purchase a negotiable certificate of deposit issued by a licensed bank.
32. Refer to the following balance sheet of a banking system. The required reserve ratio of the banking system is 25% and the public always hold \$50 in cash.

Assets (\$)		Liabilities (\$)	
Reserves	500	Deposits	1,200
Loans	700		

Suppose some banks lend out their excess reserves. After deposit creation, the amount of deposits in the banking system is \$1,500. Which of the following statements about the banking system is **CORRECT**?

- The money supply of the economy becomes \$1,500.
- The excess reserves of the banking system become \$125.
- The reserves of the banking system become \$800.
- The monetary base of the economy becomes \$425.

33. Study the following information.

Monetary base	\$150 million
Cash in public circulation	\$70 million
Required reserve ratio	20%
Actual banking multiplier	4

Which of the following statements is **CORRECT**?

- A. The amount of excess reserves is \$80 million.
- B. The amount of loans is \$240 million.
- C. The amount of deposits is \$400 million.
- D. The amount of money supply is \$470 million.

34. Suppose the nominal interest rate is 5% and there is actual deflation of 1%. Which of the following is **CORRECT**?

- A. The nominal rate of return of holding money is 1%.
- B. The actual real interest rate is 4%.
- C. The nominal interest rate is higher than the expected real interest rate.
- D. The real rate of return on holding money is higher than the nominal rate of return on holding money.

35. Suppose the central bank continues to sell government bonds to the public. According to the classical quantity theory of money,

- A. the velocity of circulation of money will decrease.
- B. the economy will experience deflation.
- C. the real output will increase.
- D. the nominal output will remain unchanged.

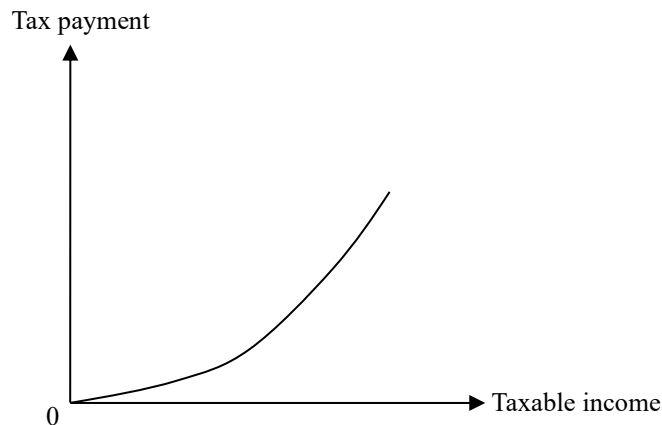
36. The following table shows some data for an economy.

	Number of persons ('000)
Aged 15 or above	9,050
Employed persons	7,500
Underemployed persons	120
Unemployed persons	400

Based on the above data,

- A. the labour force is 8,020,000.
- B. the employment rate is 96.46%.
- C. the unemployment rate is 5.06%.
- D. the underemployment rate is 1.33%.

37. The following diagram shows the relationship between taxable income and tax payment in a tax system.



Which of the following statements about the above tax system is/are **CORRECT**?

- (1) It is a regressive tax.
- (2) It will result in a more even income distribution.
- (3) A tax allowance may be provided for the tax.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

38. There have been incidents of cyberattacks targeting electronic payment tools in Country A, causing many citizens to stop using these tools due to concerns over data leakage. Which of the following can offset the effects of the incident on the economy's output level and interest rate at the same time in the short run?

- A. More enterprises change from monthly payments to weekly payments.
- B. The government increases the allowance for the salaries tax.
- C. The government issues more government bonds to the public.
- D. The risk of investing in the stock market increases.

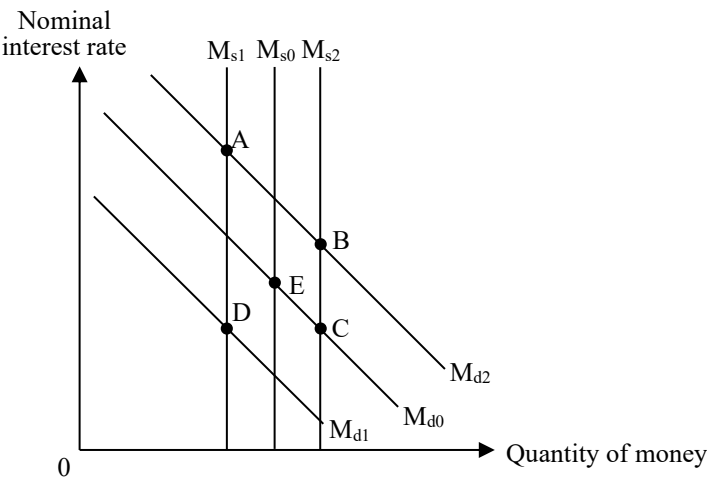
39. If the government raises the standard rate of salaries tax, the output level _____, and the government's tax revenue from salaries tax _____.

- A. will decrease ... may increase or decrease
- B. will decrease ... will increase
- C. may increase or decrease ... may increase or decrease
- D. may increase or decrease ... will decrease

40. Which of the following measures may increase the aggregate output and the balance of payments surplus at the same time?

- A. canceling the tax incentives for foreign investors
- B. increasing the amount of transfer payments
- C. holding more international competitions to attract tourists
- D. importing more raw materials from foreign countries to replace local production

41. The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose the government increases the discount rate and the liquidity of other interest-bearing assets increases. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

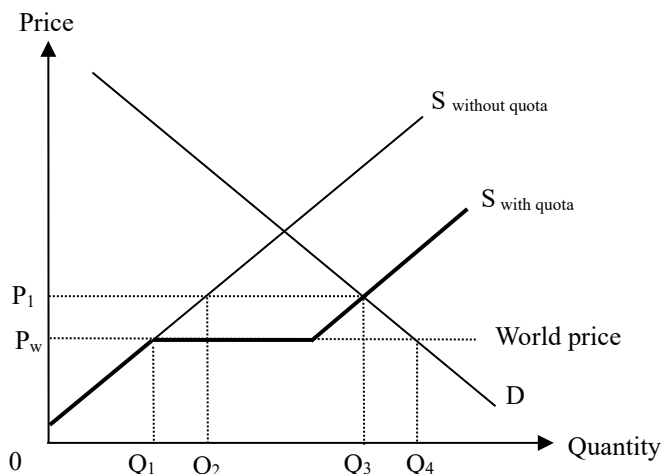
42. The following table shows the number of man-hours required to produce clothing and toys in Country A and Country B.

	1 unit of clothing	1 unit of toys
Country A	10 man-hours	5 man-hours
Country B	20 man-hours	4 man-hours

Suppose the clothing-exporting country exports 4 units of clothing in exchange for 10 units of toys. At the same time, the clothing-exporting country needs to pay 0.1 units of toys per unit of export as transportation cost. What is the total gain from trade for the clothing-exporting country?

- A. 0.4 units of toys
- B. 0.5 units of toys
- C. 1.6 units of toys
- D. 2 units of toys

43. The diagram below shows the imposition of a quota on an imported good in a small open economy.



If the world price of the good decreases,

- A. the domestic price of the good will be lower than P_1 .
- B. the import volume of the good will be smaller than $(Q_3 - Q_2)$.
- C. the revenue of domestic producers of the good will remain unchanged.
- D. the total import value of the good will be $P_1 \times (Q_3 - Q_2)$.

44. Refer to the following information about the balance of payments of an economy in a certain year.

Items	\$ million
Visible trade	230
Invisible trade	170
Income receivable from abroad	40
Income payable abroad	20
Current transfers received from abroad	20
Current transfers paid abroad	25
Decrease in reserve assets	50

Based on the above information, which of the following statements are **CORRECT**?

- (1) The current account surplus is \$415 million.
 - (2) The economy's gross domestic product (GDP) is higher than its gross national income (GNI).
 - (3) The balance of payments deficit is \$50 million.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

45. The following table shows the change in the exchange rate between the Hong Kong dollar (HKD) and the Japanese yen (JPY).

2024	Exchange rate
3 January	HKD 1 = JPY 18.18
3 June	HKD 1 = JPY 20.12

Under the linked exchange rate system, the above change in the exchange rate will lead to

- A. a decrease in the number of Hong Kong tourists to Japan.
- B. a decrease in the total value of Japanese goods exported to Hong Kong (in terms of HKD).
- C. an increase in the competitiveness of Hong Kong goods exported to Japan.
- D. a decrease in the total value of Hong Kong goods exported to Japan (in terms of HKD).

END OF PAPER